CSIS JAPAN CHAIR

Japan Daily Brief

Thursday, October 22, 2026

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RE: PHP cyber crisis hits banks/gov't · BOJ holds next week, Dec hike expected · Typhoon disrupts Keen Sword · Yttrium crunch deepens · Takaichi year-two fiscal test

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
62,907.84	156.82	$111.79	1.25%
▼ -3.70%	▼ -0.84%	▲ +2.04%	

TOP STORIES

TECHNOLOGY

PHP vulnerability takes Japanese banks, airlines, and government websites offline

Critical vulnerabilities found in the PHP programming language forced MUFG Bank, JR West, airlines, and multiple ministry websites to suspend digital services as emergency patching began. Prime Minister Takaichi issued an urgent public advisory via social media urging immediate patching, and the government held emergency meetings with infrastructure operators.

BLOOMBERG

CHINA-JAPAN

Supplies of rare earth yttrium have ‘stalled,’ industry ministry official says

A METI official described a "supply-demand crunch" on yttrium, with Japan reportedly months from running out of the critical rare earth used in defense and electronics manufacturing. China's Foreign Ministry defended the export controls as aimed at preventing Japan's "remilitarization" and "nuclear ambitions," rejecting Tokyo's reported request for US diplomatic assistance.

THE JAPAN TIMES

DEFENSE

Japan and U.S. to conduct drills under extreme conditions as typhoon nears

The Japan-US Keen Sword exercise, described as the largest-ever joint military training, is using Typhoon Champi's approach to conduct adverse-weather training rather than suspending operations. Chinese military vessels and spy drones have been observed tracking the war games off Japan, per South China Morning Post reporting.

THE JAPAN TIMES

POLITICS-DIET

What's next for Takaichi? 5 challenges ahead for Japan's PM

Nikkei Asia catalogues five major challenges confronting Prime Minister Takaichi at the one-year mark, spanning fiscal credibility, Diet arithmetic, diplomatic pressures, the yttrium-supply crisis, and coalition

durability. Kyodo reporting separately notes Diet battles and diplomatic challenges ahead, while Kyodo polling has placed her approval at a record low of 49.1%.

NIKKEI ASIA

CHINA-JAPAN

Is China Getting Involved in the Japan-Russia Territorial Dispute?

A Chinese delegation visited one of the disputed Southern Kuril Islands (Northern Territories) amid deepening China-Russia ties, as analysis by Nikkei Asia notes that Beijing is now defying the stance Mao Zedong once took in supporting Japan's territorial claim. The development comes as Japan presses Russia for consular access to detained Hokkaido Shimbun reporter Yuki Imai.

THE DIPLOMAT

STAT OF THE DAY

80%+

BOJ watchers expecting December rate hike

More than 80% of Bank of Japan watchers in a recent survey anticipate the next interest rate increase will come in December, up 48 percentage points from forecasts just one month prior.

Most BOJ watchers expect next interest rate hike in December — Japan Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · THURSDAY, OCTOBER 22, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Takaichi pressed the BOJ to buy more bonds via public statement, met Yokohama's mayor to coordinate on the 2027 horticultural expo, and issued an urgent social-media advisory on PHP cybersecurity vulnerabilities.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Takaichi presses BOJ to buy more bonds; marks one year in office

Prime Minister **Sanae Takaichi** publicly called on the Bank of Japan to increase its bond purchases, stepping up pressure on monetary policy as she enters her second year. Chief Cabinet Secretary **Minoru Kihara** stated at the morning press conference that the government has steadily delivered on its pledges over the past year.

→ upi.com ↗

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Government suspends ministry websites; PHP vulnerability patching underway

Some Japanese ministry webpages were partially suspended as a preventive measure after vulnerabilities were found in the widely used PHP programming language. MUFG Bank and JR West also announced service

suspensions; the government issued emergency public guidance including a Prime Minister's Office social-media post urging users to patch systems urgently.

→ Mainichi ↗

経済産業省 / 財務省 · GOVERNMENT (CABINET / METI / MINISTRY OF FINANCE)

Japan considers reintroducing electricity and gas subsidies for January–March 2027

The Japanese government has begun considering subsidies for electricity and gas bills covering January through March 2027 to ease household burdens, per Mainichi and Reuters. The move follows surging oil import costs linked to Middle East conflict.

→ Mainichi ↗

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ expected to hold rate at 1.25% at next week's meeting; to assess whether 2% inflation target reached

The Bank of Japan is expected to hold its policy rate at *1.25%* at the meeting scheduled for next week, with the board set to assess whether underlying inflation has sustainably reached 2%. More than 80% of BOJ watchers now expect the next hike to come in December, up 48 percentage points from forecasts one month prior.

→ Nikkei Asia ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM meets Yokohama mayor to cooperate on 2027 horticultural expo

Prime Minister Sanae Takaichi and Yokohama Mayor **Atsumi Harasawa** agreed to cooperate to ensure the success of an international horticultural exposition planned for 2027.

→ Mainichi ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES — LOWER HOUSE COMMITTEE

Lower House committee debates food consumption tax cut bill

The Lower House committee took up the food consumption tax cut bill for debate. Opposition parties offered alternatives to the tax cut during parliamentary sessions, as the Diet continues deliberations on the government's flagship fiscal measure.

LDP

LDP proposes cutting Lower House proportional seats by 31 as compromise on electoral reform

The LDP submitted a proposal to reduce Lower House proportional-representation seats by 31, offering a middle ground between ruling-coalition and opposition positions on reducing the overall number of Diet members.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**

Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**

Discourse: As Takaichi enters her second year, the Mainichi editorial board stated the 'money in politics' problem remains neglected, and Kyodo analysis warns her tightening grip may stir intraparty LDP dissent in year two.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MACRO · THE JAPAN TIMES · RENGO

Rengo sets 6% wage hike target for 2027 spring labor offensive

Japan's largest labor union federation Rengo called for wage increases of *6%* — with a center-of-gravity target of 6% — for the 2027 shunto, also introducing a new medium-term wage goal. Member unions are expected to submit formal demands around February, with company responses from March onward.

MACRO · THE JAPAN TIMES

Takaichi under fiscal pressure in year two as cost of big spending pledges comes due

The Japan Times analysis finds Prime Minister Takaichi faces mounting pressure to demonstrate spending discipline as the bill for her first-year economic pledges arrives, with cabinet approval at a record-low 49.1% by Kyodo polling. The food consumption tax cut bill now in Diet deliberation and potential energy subsidies add to the fiscal tally.

FINANCE · THE JAPAN TIMES · DAIICHI LIFE

Japan life insurers' sustained superlong JGB purchases seen anchoring upcoming bond auctions

Japanese life insurers have been net buyers of superlong government bonds for four consecutive months, a trend market strategists say could provide an anchor for upcoming auctions amid rising yield expectations. Daiichi Life separately turned to gold as a hedge against rising market risks.

TECH · THE JAPAN TIMES · SOFTBANK, HITACHI, RECRUIT, TOYOTA, SKYECHIP

SoftBank market cap halves from peak as AI enthusiasm fades; now smaller than Hitachi and Recruit

SoftBank's market capitalization has fallen to *half* of its recent peak amid growing concerns over AI investment returns, leaving the firm smaller than Hitachi and Recruit after briefly surpassing Toyota as Japan's largest company. Malaysia's SkyeChip separately joined a SoftBank-backed AI memory project in Japan.

REGIONAL PRESSURE WATCH

Normal — 23 items

CHINA

China's Foreign Ministry reiterated that export controls targeting Japan's access to yttrium and other rare earths are designed to prevent Japanese "remilitarization" and "nuclear ambitions," directly responding to Tokyo's reported request for US help to ease the restrictions. Chinese military vessels and spy drones separately tracked the Japan-US Keen Sword exercise, and a Chinese delegation visited a Russian-held disputed island (Southern

Kurils), with Nikkei Asia analysis noting Beijing is now defying the stance Mao Zedong once took in supporting Japan's territorial claim.

NORTH KOREA

Kyodo analysis assessed that North Korea may be deliberately testing the limits of the Trump administration's red lines through its sustained missile-testing campaign, as Japan-South Korea technology cooperation deepens the trilateral missile-tracking network with the US.

RUSSIA

Japan sent a senior diplomat to Moscow to press for consular access to detained Hokkaido Shimbun reporter Yuki Imai, held by Russia's FSB in Sakhalin on espionage allegations; Russia continues to deny consular access. TASS separately reported that Japanese companies are remaining in Russia while awaiting opportunities to expand their presence.

Senkaku / ECS: No new Senkaku-specific CCG patrol or intrusion data reported in today's articles; the broader East China Sea pressure context continues with Chinese surveillance of Keen Sword exercises.

"Rare-earth export controls on Japan aim to prevent 'remilitarization' nuclear ambitions"

China Foreign Ministry spokesperson · Rare-earth export controls on Japan aim to prevent 'remilitarization' nuclear ambitions: FM — Global Times

Bottom line: China is simultaneously tightening the yttrium supply chokehold on Japan's manufacturing and defense base while surveilling the largest-ever Keen Sword exercise and probing the Japan-Russia territorial dispute — the convergence of economic coercion and military signaling merits close tracking heading into the BOJ meeting week.

U.S.-JAPAN RELATIONS

ALLIANCE · REUTERS

Japan considers broader definition of security spending to expand defense budget

Sources told Reuters that Japan is considering a broader definition of what qualifies as security-related spending, which would inflate the headline defense outlay figure relevant to Japan's GDP-based defense targets agreed with the US. The move would affect how Japan's spending is benchmarked against the 2%-of-GDP commitment.

ALLIANCE · EURASIA REVIEW

Japan-South Korea technology cooperation reinforces US-Japan-ROK trilateral missile-tracking network

Japan-South Korea technology cooperation is strengthening the trilateral missile-tracking network with the United States, per Eurasia Review analysis, as North Korea's sustained missile-testing campaign continues to pressure alliance coordination. The development builds on US-Japan-ROK security frameworks.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · PHILSTAR.COM

Marcos and Takaichi discuss bilateral ties and ASEAN Summit preparations

The Philippines and Japan leaders discussed bilateral ties and ASEAN Summit preparations in a call, with the Philippines and Japan reaffirming cooperation on regional security and economic matters.

SOUTHEAST ASIA · KYODO NEWS

Tarique-Takaichi meeting set for Tokyo on October 27

> Bangladesh political figure Tarique is scheduled to meet Prime Minister Takaichi in Tokyo on October 27, per Bangladesh Sangbad Sangstha reporting, with metro rail costs and loan interest rates expected to be on the agenda.

UPCOMING

Oct 27

Tarique-Takaichi bilateral meeting in Tokyo

Bangladesh political leader Tarique is scheduled to meet Prime Minister Takaichi in Tokyo on October 27, per Bangladesh Sangbad Sangstha reporting.

Oct 28

BOJ Monetary Policy Meeting (next week)

The Bank of Japan's next policy meeting is scheduled for next week; the BOJ is expected to hold its rate at 1.25% and assess whether underlying inflation has sustainably reached 2%. Markets are pricing the next hike for December.

Nov 5

US midterm elections

US midterm elections take place November 5; NHK reports inflation and tariffs are driving voter concerns, with implications for the trade policy environment Japan faces.

Jan 1

Japan energy subsidy window opens (January–March 2027 under consideration)

The government is considering reintroducing electricity and gas subsidies for January through March 2027; a Cabinet decision is expected before the end of the year.

Mar 31

Current Host-Nation Support Special Measures Agreement expires

The current US-Japan Special Measures Agreement (approximately ¥211 billion/year) runs through March 31, 2027; renewal negotiations form a standing alliance-management issue.

CSIS Japan Chair

JAPAN DAILY BRIEF

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